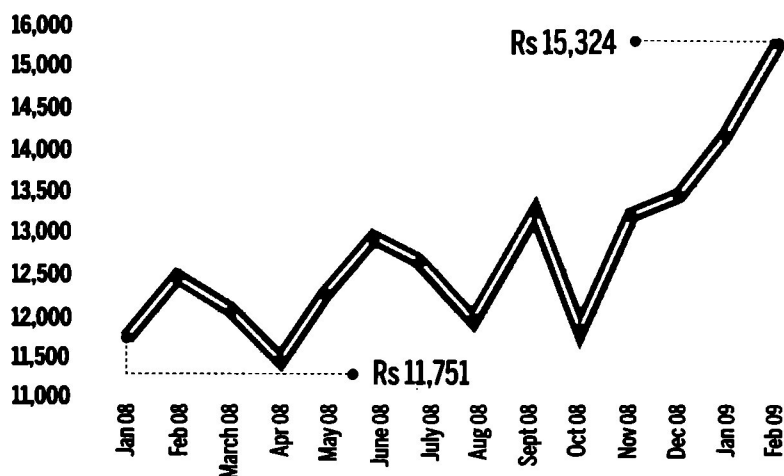


Gold

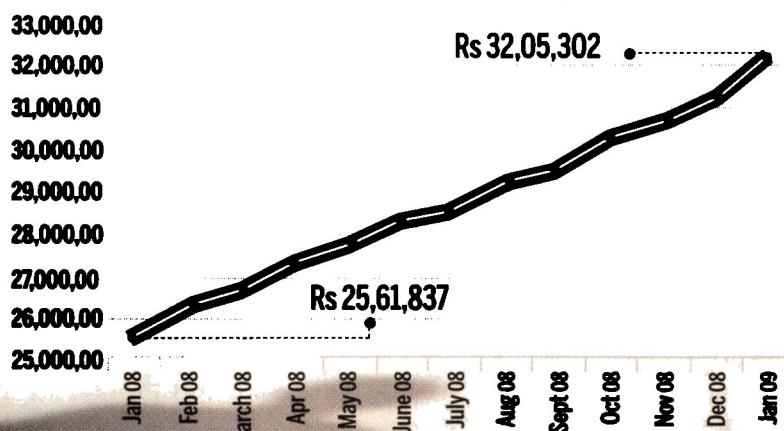
With returns of 32 per cent, the yellow metal outperforms most of the asset classes



Price per 10 gm at month-end; Feb '09 price as on 25th. Source: Commodity exchanges

Term Deposits

Bank deposits soar as stock markets journey downward



Figures in rupees crore. Source: RBI

AT THE RETAIL LEVEL, INDIANS BOUGHT GOLD WORTH RS 88,056 CR IN 2008 AGAINST RS 71,761 CR THEY SPENT IN 2007.

instance, the price of gold rose 4.4 per cent after the 9/11 attacks. Now with the world's largest economy in a tizzy, there is a loud buzz in the commodity markets that the US central bank may well sell a part of its gold reserves to fund its unending bailout packages, in a bid to protect the dollar from depreciating any further. In anticipation, gold prices have gained more momentum this year soon after Barack

Obama took charge of the White House. Says Om Ahuja, executive vice-president, Yes Bank: "In these times, investors want liquidity and safety, which is why high net worth individuals are looking at bank fixed deposits." Data released by the Association of Mutual Funds in India shows assets under management of the mutual fund industry grew by Rs 16,307 crore in December 2008 to Rs 4,18,336



Banks have turned risk averse in the three months ended January 30."

VETRI SUBRAMANIAM
Head-Equity Funds, Religare Asset Management Company

crore, compared to Rs 4,02,029 crore in November the same year.

So will gold prices continue to rally indefinitely or will the cycle turn? In the short and medium term, the answer definitely seems to be yes, as the open interest for gold in the futures market is up from 17 tonnes to 23 tonnes. Evidently, the market expects gold to touch new levels and not stop at Rs 16,000/10 gm. With the developed nations busy working their currency presses to print more money for bailouts, money lying in bank accounts is losing its sheen. Says Sivasubramanian K.N., senior portfolio manager (equity), Franklin Templeton: "The recent rise in gold prices has been spurred by the sharp increase in volatility across most asset classes."

The rupee has depreciated against the dollar by almost 25 per cent since January last year, while the dollar has consistently fallen against other currencies like the euro and sterling. The falling rupee has also played its part in pushing up the price of gold as the cost of importing it has gone up along with the soaring prices of the metal in international markets. As long as economies don't stabilise, gold is likely to rule. No wonder, global consumption of gold has gone up by 29 per cent to touch \$102 billion on sustained investor interest in 2008, the worst year for global stock markets and many other asset classes.

Seeing the aversion to pure equity in such turbulent times, UTI Mutual Fund has launched a fund called the UTI Wealth Builder, which invests 65 per cent of the corpus in equity and the remaining in gold exchange traded funds. Ever since the stock markets started their downward jour-